06 Analysis and interpretation

Topical Question Bank | Paper 2 | 2021-2025

Questions only - original examination pages retained

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6.1 Calculation and understanding of accounting ratio

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5 Ajay is a retailer. He has provided the following information.

	$
At 1 April 2023	
Inventory	5200
Trade receivables	6875
Cash at bank	1946
Trade payables	5115
For the year ended 31 March 2024	
Revenue – credit sales	86400
– cash sales	10600
Purchases	51 300
Expenses	23750
At 31 March 2024	
Inventory	6500
Trade receivables	9550
Cash at bank	1200
Trade payables	6000

REQUIRED

(a) Complete the following table.

ratio	working	answer
Gross margin (to 2 decimal places)		
Profit margin (to 2 decimal places)		
Rate of inventory turnover (times) (to 2 decimal places)		
Trade receivables turnover days (round up to next whole day)		
Liquid (acid test) ratio (to 2 decimal places)		

[11]

Ajay has been trading for 3 years and he has established a good reputation. He has never changed his selling price. His gross margin for the year ended 31 March 2024 is higher than for the previous years.

REQUIRED

(b) **(i)** Suggest **one** reason why Ajay's gross margin has increased.

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.... [1]

(ii) State **one** reason why Ajay's customers might be interested in his financial statements.

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.... [1]

Ajay is concerned about the levels of his inventory and trade receivables. He is considering reducing his selling price.

REQUIRED

(c) Advise Ajay whether or not he should reduce his selling price. Justify your answer by providing advantages and disadvantages of reducing his selling price.

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.... [5]

Although Ajay's gross margin has increased, his profit margin has fallen for each of the last two years. Sales revenue is Ajay's only income.

REQUIRED

(d) State **two** reasons why Ajay should be concerned about his falling profit margin.

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2 ....

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[2]

[Total: 20]

5 Azim is a wholesaler. He sells goods on both cash and credit basis. Terms of business for all credit sales is 30 days.

Azim has provided the following information for the year ended 31 December 2023.

	$
Cash sales	18 170
Credit sales	392 600
Credit purchases	278 429
Inventory at 31 December 2022	24 074
Inventory at 31 December 2023	25 600
Money owed by credit customers at 31 December 2023	42 375
Money owed to credit suppliers at 31 December 2023	21 603

REQUIRED:

(a) Using the information provided, calculate the following ratios for the year ended 31 December 2023. Show your workings.

Ratio	Workings	Answer
Inventory turnover (correct to 2 decimal places)		
Trade receivables turnover (round up your answer to the nearest whole day)		
Trade payables turnover (round up your answer to the nearest whole day)		

[7]

During the previous year, Azim's trade receivables turnover had been 35 days and he is concerned that this is too high.

Azim had been considering using the services of a debt collection company to improve the speed at which he receives his money from his credit customers.

REQUIRED:

(b) Advise Azim whether he should appoint a debt collection company. Justify your answer with **two** advantages and **two** disadvantages.

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[5]

(c) Suggest **two** other measures that Azim might take to reduce his trade receivables turnover period.

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2. ....

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[2]

Azim had calculated his gross profit margin and profit margin for the year ended 31 December 2023. He wants to compare these to his competitor Baher who has a similar sized business.

	Azim	Baher
Gross profit margin	33%	37%
Profit margin	10%	12%

REQUIRED:

(d) Suggest **one** action that Azim might take to improve his:

(i) Gross profit margin

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[1]

(ii) Profit margin

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[1]

During the year ended 31 December 2023, Azim took goods for his own use, $340, but had not entered this in his accounting records. To correct this error, Azim made a year-end adjustment.

REQUIRED:

(e) (i) Prepare the journal entry that Azim would need to make to correct this error. A narrative is **not** required.

Details	Debit $	Credit $
....	....	....
....	....	....

[2]

SUBTOPIC: 6.1 Calculation and understanding of accounting ratios

(ii) Complete the table below by placing a tick (✓) to indicate the effect of correcting this error on Azim's gross profit and closing capital.

	increase	decrease	no effect
gross profit			
closing capital			

[2]

[Total: 20]

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4 Raj is a trader who buys and sells on credit.

He has provided the following information.

	$
Inventory at 1 January 2024	5500
For the year to 31 December 2024:	
Revenue	112000
Purchases	68200
Expenses	21500
At 31 December 2024:	
Inventory	5700
Trade receivables	16000
Trade payables	5100
Bank overdraft	6890
Capital	285000

REQUIRED

(a) Complete the following table.

Ratio	Workings	Answer (to **two** decimal places)
Gross margin		
Profit margin		
Return on capital employed (ROCE)		
Rate of inventory turnover (times)		
Trade receivables turnover (days)		
Liquid (acid test) ratio		

[11]

Raj's profit margin has decreased over the past few years. It has taken Raj longer to collect money from trade receivables in 2024 than in the previous years.

REQUIRED

(b) Explain how Raj's lower profit margin may be linked to his trade receivables taking longer to pay.

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.... [4]

SUBTOPIC: 6.1 Calculation and understanding of accounting ratios

Raj is considering paying more capital into the business to reduce the bank overdraft.

REQUIRED

(c) Advise Raj whether or not he should pay more capital into the business. Justify your answer by providing points for and against.

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.... [5]

[Total: 20]

4 AY Limited has provided the following performance data for the last two years of trading.

Ratio	Year 1 ended 31 March 2024	Year 2 ended 31 March 2025
Return on capital employed (ROCE)	10.67%	10.05%
Gross margin	22%	23.5%
Profit margin	11.5%	11.0%
Rate of inventory turnover	9.46 times	11.45 times
Trade payables turnover	34 days	30 days
Trade receivables turnover	32 days	36 days
Liquid (acid test) ratio	1.42:1	0.95:1

All sales and purchases are on credit and are subject to a 30-day credit period.

REQUIRED

(a) Complete the following table by indicating whether the ratio has improved or deteriorated at the end of year 2, and give **two** reasons which may have caused the change.

The Return on capital employed (ROCE) has been completed as an example.

Ratio	Improved or deteriorated	Possible reasons for the change
Return on capital employed (ROCE)	*Deteriorated*	*Introduction of additional capital or loans.* *Profit for the year has decreased.*
Gross margin		
Profit margin		
Rate of inventory turnover (times)		
Liquid (acid test) ratio		

[10]

The directors at AY Limited were concerned that the trade receivables turnover rate had deteriorated and so increased the provision for doubtful debts from 2% to 3% for the year ended 31 March 2025. The trade receivables balances were as follows:

	$
31 March 2024	346 000
31 March 2025	399 000

REQUIRED

(b) Write up the provision for doubtful debts account in AY Limited's ledger for the year ended 31 March 2025.

Balance the account and bring down the balance at 1 April 2025.

AY Limited
Provision for doubtful debts account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
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....	....	....	....	....	....

[3]

(c) **(i)** Explain what is meant by 'a provision for doubtful debts'.

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.... [1]

(ii) Name the accounting principle being applied when creating a provision for doubtful debts.

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The directors of AY Limited have been considering buying a new piece of equipment costing $75 000. A machinery supplier has approached them, offering a 15% discount on this equipment if they make an immediate purchase. The supplier has indicated that the purchase would need to be on a cash basis. AY Limited's accountant has suggested that they may be able to finance the purchase of the equipment by delaying payments to their trade payables.

REQUIRED

(d) Advise the directors of AY Limited whether or not delaying payments to their trade payables would be a good way to secure the purchase of the equipment. Justify your answer by providing points for and against delaying payments to their trade payables.

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.... [5]

[Total: 20]

3 Rushil is a trader and has provided his statement of financial position at 30 September 2025.

	$	$
Non-current assets		220 000
Current assets		
Inventory	34 000	
Trade receivables	44 000	
Other receivables	6 500	
Cash	8 400	92 900
		312 900
Capital and liabilities		
Capital – opening balance	199 100	
Profit for the year	36 000	
	235 100	
Less: Drawings	12 000	223 100
Non-current liabilities		
Long-term bank loan	49 000	49 000
Current liabilities		
Trade payables	31 000	
Bank	9 800	40 800
		312 900

Rushil has provided the following additional information:

1 Inventory at 1 October 2024 was $30 000.

2 The profit for the year in his statement of financial position was after having deducted loan interest charges of $2450.

3 For the year ended 30 September 2025:

- sales totalled $482 000 ($387 000 were on credit; the remainder were cash sales)
- purchases totalled $310 000 (all on credit).

REQUIRED

(a) Complete the following table.

Return on capital employed (ROCE)	Answer (correct to **two** decimal places)
Workings	
Rate of inventory turnover	Answer (correct to **two** decimal places)
Workings	
Trade receivables turnover (days)	Answer (round up to the next **whole** day)
Workings	
Trade payables turnover (days)	Answer (round up to the next **whole** day)
Workings	
Current ratio	Answer (correct to **two** decimal places)
Workings	

[8]

(b) (i) Suggest **two** ways that Rushil might improve his return on capital employed (ROCE).

1 ....

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2 ....

.... [2]

(ii) Suggest **two** ways that Rushil might improve his inventory turnover rate.

1 ....

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2 ....

.... [2]

Included in Rushil's closing inventory valuation were some items that had been damaged. These were included at a reduced value.

REQUIRED

(c) (i) State why the inventory was included at a reduced value.

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.... [1]

(ii) Name the accounting principle that is being applied.

....

.... [1]

(iii) Complete the table by indicating with a tick (✓) the effect on Rushil's gross profit of including his damaged inventory at a reduced value.

effect on Rushil's gross profit	
increase	decrease

[1]

Rushil is concerned that his credit customers are taking too long to pay him. He is considering allowing a 2.5% cash discount on all credit sales if paid within 21 days.

REQUIRED

(d) Advise Rushil whether or not he should allow his credit customers a cash discount if they make payment to him within 21 days. Justify your answer with arguments for and against Rushil allowing his credit customers a cash discount if they make payment to him within 21 days.

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.... [5]

[Total: 20]

4 Chaaya provided the following information.

	$
For the year to 31 December 2020	
Credit sales	114 400
Credit purchases	63 110
Gross profit	51 480
At 31 December 2020	
Inventory	2 850
Trade receivables	15 400
Trade payables	7 430
Bank overdraft	6 190

REQUIRED

(a) Complete the following table.

ratio	working	answer
gross margin		
trade receivables turnover days (round up to next whole day)		
current ratio (correct to two decimal places)		

[6]

Chaaya is comparing her ratios with those of Sara, her main competitor. Based on Sara's most recent financial statements, her trade receivables turnover is 28 days.

REQUIRED

(b) **(i)** Compare Chaaya's trade receivables turnover with Sara's trade receivables turnover.

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.... [3]

(ii) State **two** problems with the inter-firm comparison in **4(b)(i)**.

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[2]

Chaaya is considering stopping selling on credit and instead selling on a cash only basis. Chaaya would offer a trade discount of 12% to regular customers in order to maintain a good relationship with customers.

REQUIRED

(c) Advise Chaaya whether she should start to make cash sales only and offer the trade discount. Justify your answer by providing **two** advantages and **two** disadvantages.

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.... [5]

(d) **(i)** State **two** reasons why Chaaya's employees would be interested in her financial statements.

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[2]

(ii) State **two** types of users of Chaaya's financial statements, **other than** Chaaya and her employees.

1 ....

2 ....
[2]

[Total: 20]

Neith later discovered the following errors.

1 The total of the general expenses column of the petty cash book, $32, for May 2020 had been posted to the office expenses account.

2 A payment received, $75, from Anya, a credit customer, had been credited to the sales account.

3 A credit purchase, $120, from Samir had been omitted from the books of account.

4 A cheque payment, $19, for office expenses, had been recorded as $91.

5 An invoice for office cleaning, $235, had been debited to the fixtures and equipment account.

REQUIRED

(b) Prepare the journal entry to correct **each** of the above errors. Narratives are **not** required.

Neith
Journal

Error number	Details	Debit $	Credit $
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....	....	....	....
....	....	....	....
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[10]

(c) Complete the table by placing a tick (✓) to indicate the effect of **correcting each** error 2 to 5. Ignore depreciation of non-current assets.

The effect of correcting error 1 has been shown as an example.

Error number	Increases capital	Decreases capital	No effect on capital
1			✓
2			
3			
4			
5			

[4]

[Total: 20]

5 Omer is a trader. He provided the following information.

	$
For the year ended 30 April 2021	
Credit sales	191 000
Credit purchases	120 000
Gross profit	80 220
Commission receivable	20 280
Expenses	29 830
At 30 April 2021	
Trade receivables	12 400
Trade payables	7 000

REQUIRED

(a) Calculate the following ratios.

Trade receivables turnover (days)	
workings	answer (round up to next whole day)

Trade payables turnover (days)	
workings	answer (round up to next whole day)

[4]

The year ended 30 April 2021 was Omer's first year of trading. His main competitor is Ahu who has been trading for many years. Ahu has established a good reputation.

The following information relates to Ahu's business for the year ended 30 April 2021.

Trade receivables turnover	36 days
Trade payables turnover	31 days

REQUIRED

(b) **(i)** Suggest **two** reasons for the difference in the trade receivables turnover of the two businesses.

1 ....

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2 ....

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[2]

(ii) Suggest **two** reasons for the difference in the trade payables turnover of the two businesses.

1 ....

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2 ....

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[2]

Omer wants to increase sales and is considering employing a marketing manager who would be paid $28 000 per annum.

REQUIRED

(c) Advise Omer whether or not he should employ a marketing manager. Justify your answer. You may include reference to the possible effects on the income and expenses of the business.

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.... [5]

Omer is concerned that an increase in sales would lead to an increase in irrecoverable debts.

REQUIRED

(d) State **three** ways by which Omer could reduce the possibility of irrecoverable debts.

1 ....

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[3]

By writing off any irrecoverable debts, Omer would be applying the matching and prudence principles.

It is also important for Omer to apply other accounting principles.

REQUIRED

(e) State **why** Omer should apply **each** of the following accounting principles.

Matching

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Prudence

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Consistency

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Business entity

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[4]

[Total: 20]

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2 Jabir owns an electrical wholesale business.

The following balances appeared in his books on 30 September 2021.

	$
Inventory	8 000
Purchases	109 000
Trade payables	11 600
Revenue	160 000
Trade receivables	22 600
Operating expenses	35 200

The inventory on 1 October 2020 was $11 000.

All sales and purchases were on a credit basis.

REQUIRED

(a) Calculate the gross profit **and** profit for the year.

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.... [2]

(b) **(i)** Calculate the gross margin.

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.... [2]

(ii) Advise Jabir on **two** actions he could take to improve his gross margin.

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[2]

(c) Calculate the trade receivables turnover. Round up your answer to the next whole day.

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.... [2]

Jabir wants to increase his credit sales and is considering allowing his credit customers an extra 14 days above his current trade receivables turnover.

REQUIRED

(d) Advise Jabir whether he should allow his credit customers an extra 14 days above his current trade receivables turnover. Justify your answer.

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.... [5]

(e) Calculate the trade payables turnover. Round up your answer to the next whole day.

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.... [2]

Jabir's credit suppliers are prepared to double the rate of his trade discount provided he increases his current monthly purchases by 20%.

REQUIRED

(f) Advise Jabir whether he should increase his current monthly purchases by 20% to earn the additional trade discount. Justify your answer.

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.... [5]

[Total: 20]

4 The discount received total for January 2022, $38, had been debited to the discount received account.

5 The account for rent and the account for commission receivable had both been overcast by $200.

REQUIRED

(c) Prepare the journal entries required to correct these five errors. Narratives are **not** required.

Jules
Journal

Error number	Details	Debit $	Credit $
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....	....	....	....
....	....	....	....
....	....	....	....
....	....	....	....
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[10]

(d) Prepare the suspense account. Include the original difference on the trial balance as a balancing figure.

Jules
Suspense account

Date	Details	$	Date	Details	$
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....	....	....	....	....	....
....	....	....	....	....	....
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[4]

[Total: 20]

4 Ekua is a trader who sells household furnishings. She has provided the following information.

	$
At 30 April 2022:	
Inventory	14 650
Trade receivables	12 700
Bank overdraft	5 375
Trade payables	7 125
For the year to 30 April 2022:	
Revenue	112 300
Purchases	72 250
Expenses	19 820

All sales and purchases are on credit.
Inventory at 1 May 2021 was valued at $12 800.

REQUIRED

(a) Complete the following tables.

Gross margin	
workings	answer (to **two** decimal places)

Profit margin	
workings	answer (to **two** decimal places)

Rate of inventory turnover (times)	
workings	answer (to **two** decimal places)

Current ratio	
workings	answer (to **two** decimal places)

Liquid (acid test) ratio	
workings	answer (to **two** decimal places)

[11]

One of Ekua's suppliers has offered to sell her a large quantity of inventory at a reduced price. Ekua is considering accepting this offer and increasing her expenditure on advertising in order to sell more inventory.

REQUIRED

(b) Advise Ekua whether she should purchase the additional inventory. Justify your answer by providing **two** advantages and **two** disadvantages.

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.... [5]

(c) Explain the meaning and importance of the principle of consistency in the preparation of financial statements.

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.... [2]

(d) State **two** non-financial factors which may affect Ekua's trading results.

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2 ....

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[2]

[Total: 20]

4 Adya is a trader. She buys and sells one type of good only. She has provided the following information.

	$
For the year to 31 October 2022	
Revenue	98 000
Purchases	62 305
Expenses	31 188
Other income	4 630
At 31 October 2022	
Inventory	7 500
Trade receivables	9 240
Trade payables	5 365
Bank overdraft	5 135

The inventory quantity and valuation at 31 October 2022 are double those at 31 October 2021.

REQUIRED

(a) Complete the following tables.

Gross margin	
Working	Answer (correct to two decimal places)

15

Profit margin	
Working	Answer (correct to two decimal places)

Rate of inventory turnover	
Working	Answer (correct to two decimal places)

Liquid (acid test) ratio	
Working	Answer (correct to two decimal places)

[9]

Adya's purchases price has remained constant throughout both years ended 31 October 2021 and 31 October 2022. The following information relates to Adya's business for the year ended 31 October 2021.

Gross margin	37.60%
Profit margin	14.85%
Rate of inventory turnover	12 times
Liquid (acid test) ratio	1.15:1

REQUIRED

(b) Comment on the changes in:

(i) gross margin

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.... [2]

(ii) the liquid (acid test) ratio.

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.... [2]

Adya is concerned about the increase in inventory over the year to 31 October 2022. She is considering reducing her selling price to increase the quantity of goods she can sell.

REQUIRED

(c) Advise Adya whether she should reduce her selling price. Justify your answer.

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.... [5]

One of the limitations of financial statements is that there is a gap between the end of the financial year and the preparation of the financial statements.

REQUIRED

(d) Explain how this limitation may influence Adya's decision about whether or not to reduce her selling price.

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.... [2]

[Total: 20]

5 Nala is a retailer who sells toys and games. All sales are on a cash basis and all purchases are on credit.

She has provided the following information.

	$
At 31 August 2023:	
Inventory	6265
Cash at bank	992
Trade payables	4880
Capital	125000
For the year to 31 August 2023:	
Revenue	98420
Purchases	78130
Expenses	11325

Inventory at 1 September 2022 was valued at $6175.

REQUIRED

(a) Complete the following table.

Ratio	Working	Answer (to 2 decimal places)
Gross margin		
Profit margin		
Return on capital employed (ROCE)		
Rate of inventory turnover (times)		
Liquid (acid test) ratio		

[11]

Nala increased her advertising expenses over the year to 31 August 2023 and sells at a lower price than her nearest competitor. This has resulted in Nala selling her inventory faster than her nearest competitor. Nala and her nearest competitor buy inventory at the same prices. Nala is pleased with her results.

REQUIRED

(b) Explain why Nala should **not** be entirely pleased with her results.

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.... [3]

Nala is planning to expand her business and to take out a bank loan to finance the expansion. The loan would be repayable after five years.

REQUIRED

(c) Advise Nala whether she should obtain a bank loan to expand the business. Justify your answer by providing **two** points for and **two** points against obtaining the bank loan to expand the business.

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(d) State why Nala's bank manager would be interested in her financial statements if she requests the loan.

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.... [1]

[Total: 20]

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4 Ahmed owns a trading business. He prepares his financial statements to 31 December each year. Ahmed had some unused office space and he decided to use some of this to store inventory and to rent the rest to Bilal.

On 1 January 2023 Bilal started renting the office space from Ahmed. The annual rental charge is $4800. During 2023 Bilal paid the following amounts of rent into Ahmed's bank account.

	$
1 April	3600
30 September	2400

REQUIRED

(a) Prepare Ahmed's rent receivable account for the year ended 31 December 2023.
Balance the account and bring down the balance at 1 January 2024.

Ahmed
Rent receivable account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[3]

Ahmed sold old office equipment for $1350 on 3 January 2023, on credit to Rahat. The equipment had been purchased for $3200 on 1 January 2021. Ahmed charges depreciation at 25% per annum using the reducing balance method. He does not charge depreciation in the year of disposal.

REQUIRED

(b) Prepare the disposal of office equipment account.

Ahmed
Disposal of office equipment account

Date	Details	$	Date	Details	$
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....
....	....	....	....	....	....

[5]

(c) Complete the table by placing a tick (✓) to indicate whether each amount of spending on the new inventory storage space is capital expenditure or revenue expenditure.

	$	Capital expenditure	Revenue expenditure
Painting the walls of the storage area	600		
Shelving for the storage area	2115		
Installation of the shelving	460		
Light fittings for storage area	620		
Light bulbs for storage area	105		

[3]

Ahmed's ledger accounts at 31 December 2023 include the following balances.

	$
Inventory at 1 January 2023	9000
Receivables	6180
Cash	175
Payables	5500
Bank overdraft	640

Ahmed's inventory at 31 December 2023 was valued at $12 130. His purchases for the year ended 31 December 2023 were $97 000.

REQUIRED

(d) Complete the following table.

ratio	working	answer (to 2 decimal places)
Rate of inventory turnover (times)		
Current ratio		
Liquid (acid test) ratio		

[7]

Ahmed's rate of inventory turnover for 2023 was lower than for 2022.

REQUIRED

(e) Suggest **two** problems which may be caused by Ahmed's lower rate of inventory turnover.

1 ....

....

2 ....

.... [2]

[Total: 20]

17

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5 Ajay is a retailer. He has provided the following information.

	$
At 1 April 2023	
Inventory	5200
Trade receivables	6875
Cash at bank	1946
Trade payables	5115
For the year ended 31 March 2024	
Revenue – credit sales	86400
– cash sales	10600
Purchases	51 300
Expenses	23750
At 31 March 2024	
Inventory	6500
Trade receivables	9550
Cash at bank	1200
Trade payables	6000

REQUIRED

(a) Complete the following table.

ratio	working	answer
Gross margin (to 2 decimal places)		
Profit margin (to 2 decimal places)		
Rate of inventory turnover (times) (to 2 decimal places)		
Trade receivables turnover days (round up to next whole day)		
Liquid (acid test) ratio (to 2 decimal places)		

[11]

Ajay has been trading for 3 years and he has established a good reputation. He has never changed his selling price. His gross margin for the year ended 31 March 2024 is higher than for the previous years.

REQUIRED

(b) **(i)** Suggest **one** reason why Ajay's gross margin has increased.

....

.... [1]

(ii) State **one** reason why Ajay's customers might be interested in his financial statements.

....

.... [1]

Ajay is concerned about the levels of his inventory and trade receivables. He is considering reducing his selling price.

REQUIRED

(c) Advise Ajay whether or not he should reduce his selling price. Justify your answer by providing advantages and disadvantages of reducing his selling price.

....

....

....

....

....

....

....

....

....

.... [5]

Although Ajay's gross margin has increased, his profit margin has fallen for each of the last two years. Sales revenue is Ajay's only income.

REQUIRED

(d) State **two** reasons why Ajay should be concerned about his falling profit margin.

1 ....

....

2 ....

....
[2]

[Total: 20]

6.2 Interpretation of accounting ratios

Included questions	0

6.3 Inter-firm comparison

Included questions	0

6.4 Interested parties

Included questions 0

6.5 Limitations of accounting statements

Included questions	0